regulation, we had removed the ambiguity, if any, on the exclusive regulations applicable to the MFI sector. In the end, the high court upheld the constitutional validity of the Andhra Pradesh law, but asked the state government to review its statute in light of the comprehensive national-level bill for the regulation of the microfinance sector which was then under the consideration of Parliament.

Ironically, the standing committee of Parliament rejected the comprehensive national-level microfinance bill in its report dated February 2014. It is not clear if the Modi government wants to review the situation and introduce its own version of a bill for a common national-level law to regulate the microfinance sector.[4]

As I look back on the microfinance imbroglio from this distance of time, the question of whether I did the right thing by capping the interest rate does occasionally cross my mind. In the event, I believe that the Malegam Committee recommendation was wise and mature. The microfinance industry did not die—unlike what the opponents of the interest rate cap had argued. On the other hand, the industry is back on track and is growing at a healthy clip. I hope, and I believe too, that someday soon enough there will be sufficient competition in the microfinance sector which itself will act as a check on the interest that MFIs are able to charge so that the Reserve Bank can withdraw its regulation on the interest rate.

Curbing the Excesses of Gold Loan Companies

The last topic I want to write about in regard to matters in the non-bank financial sector is on the tightening of regulation on gold loan companies on my watch. I've already written about the huge demand for gold in India not only because it is an attractive saving option for households, but also because of its liquidity and the ease of using gold as a collateral for borrowing. Companies that lend against the pledge of gold are commonplace across the country although they are more visible in some parts than others. In 2011 going into 2012, we found that the gold loan business was expanding at an unusually rapid pace. The reason for this was